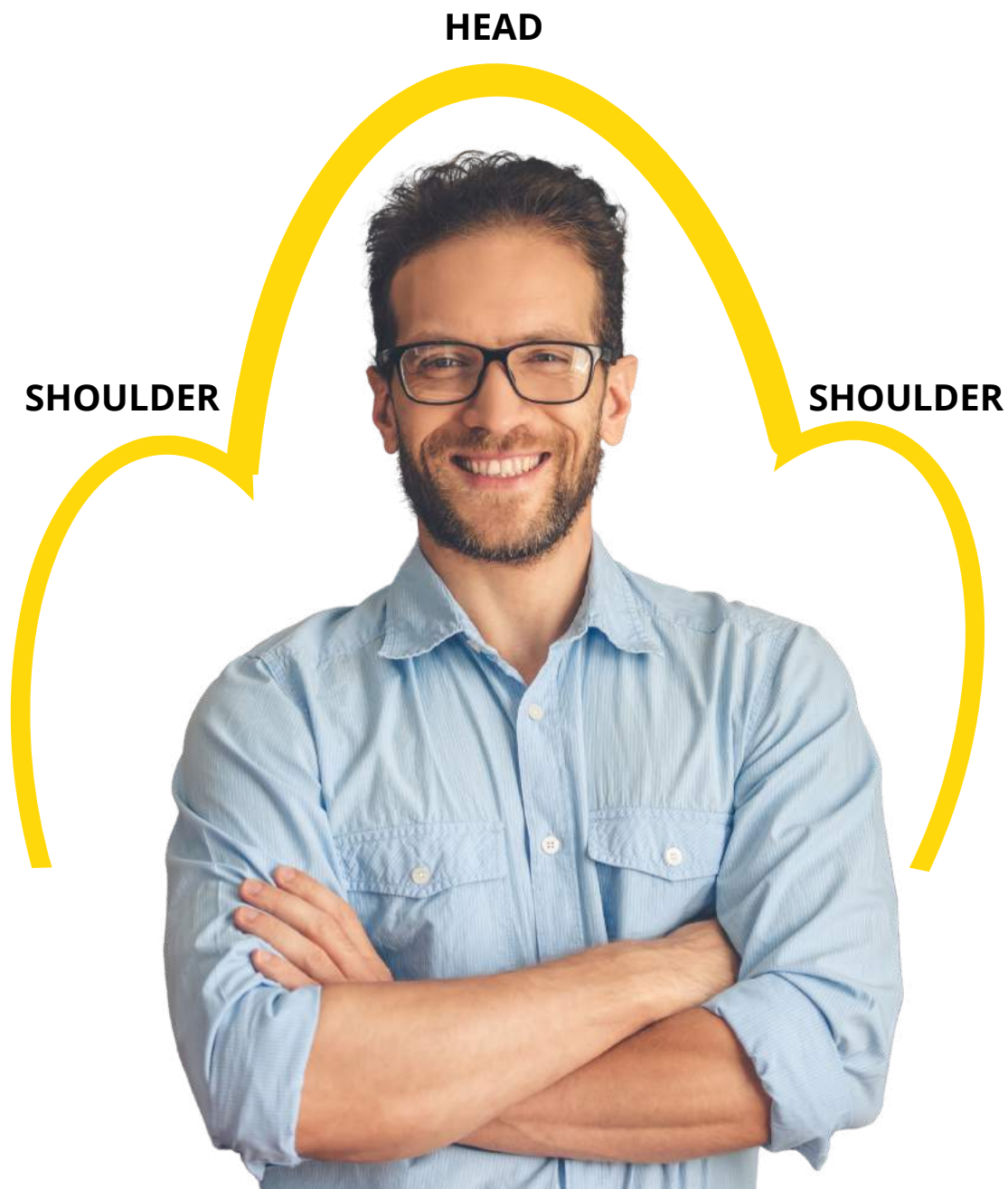




Firstly, we will identify a head and shoulders pattern being formed. Next, we will wait for it to break out of the support levels. The moment it breaks out of the support level, the bulls will recede and the downtrend will continue with even greater force. When the asset breaks out of the support level and there is a confirmation for the breakout, we will short the asset and profit from the price decline.

At times, the chart pattern can also form false moves with a breakout and then a reversal following the same. We will incur small losses here. These things will be taken care of when we backtest and systematically check if our strategy is working or not. In practice, this is a popular pattern that has been used fruitfully by analysts and traders across the globe.